

Buffett stayed in touch with Graham, sending him stock ideas after stock ideas. Then, in 1954, Graham called with news: The religious barrier had been lifted and there was a seat at Graham-Newman if he was still interested. Buffett was on the next plane to New York.

During his tenure at Graham-Newman, Buffett became fully immersed in his mentor's investment approach. In addition to Buffett, Graham also hired Walter Schloss, Tom Knapp, and Bill Ruane. Schloss went on to manage money at WJS Ltd. Partners for 28 years. Knapp, a Princeton chemistry major, was a founding partner in Tweedy, Browne Partners. Ruane cofounded the Sequoia Fund.

For Buffett, Graham was much more than a tutor. "It was Graham who provided the first reliable map to that wondrous and often forbidding city, the stock market," wrote Roger Lowenstein. "He laid out a methodological basis for picking stocks, previously a pseudoscience similar to gambling."<sup>16</sup> Since the days when 11-year-old Buffett first purchased Cities Service Preferred, he had spent half of his life studying the mysteries of the stock market. Now he had answers. Alice Schroeder, author of *The Snowball: Warren Buffett and the Business of Life*, wrote, "Warren's reaction was that of a man emerging from the cave in which he had been living all his life, blinking in the sunlight as he perceived reality for the first time." According to Schroeder, Buffett's original "concept of a stock was derived from the patterns formed by the prices at which pieces of paper were traded. Now he saw that those pieces of paper were simply symbols of an underlying truth."<sup>17</sup>

In 1956, two years after Buffett arrived, Graham-Newman disbanded and Graham, then 61, decided to retire. Once again Buffett returned to Omaha. Armed with the knowledge he had acquired from Graham, and with the financial backing of family and friends, he began a limited investment partnership. He was 25 years old.

## **The Buffett Partnership Ltd.**

The Buffett Partnership began with seven limited partners who together contributed \$105,000. Buffett, the general partner, started with \$100. The limited partners received 6 percent annually on their investments and 75